

24STCV27242 24STCV27242

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Case Number: 24STCV27242 Hearing Date: July 7, 2026 Dept: 529

HARMIK OHANIAN VS STATE FARM GENERAL
INSURANCE COMPANY

DEFENDANT STATE FARM GENERAL
INSURANCE COMPANY'S MOTION FOR SUMMARY ADJUDICATION

Date of Hearing: July
7, 2026 Trial Date: None
set.

Department: 529 Case
No.: 24STCV27242

Moving Party:
Defendant State Farm General Insurance Company

Responding Party: Plaintiff
Harmik Ohanian

BACKGROUND

On October 17, 2024, Plaintiff Harmik Ohanian filed a complaint against Defendant State Farm General Insurance Company alleging two causes of action: (1) Breach of Insurance Contract, and (2) Breach of the Implied Covenant of Good Faith and Fair Dealing. Plaintiff alleges that he was insured under a State Farm Homeowners Insurance Policy (Policy No. 75-J2M038-9), covering his real property located at 10356 Ormond Street, Sunland, California 91040, during the relevant time period of October 1,

2022 to October 1, 2023. Plaintiff claims that the property sustained substantial damage from a wind and rainstorm on or about February 25, 2023, and that State Farm failed to issue payment under the policy despite acknowledging coverage and the scope of damages. According to the complaint, Plaintiff fulfilled all obligations under the policy, including timely payment of premiums, and provided documentation supporting his claim. However, Plaintiff alleges that State Farm improperly denied benefits, failed to investigate the loss in good faith, unreasonably delayed handling of the claim, and ignored Plaintiff's request for appraisal. Plaintiff further alleges that Defendant's conduct was unreasonable, in bad faith, and intended to compel Plaintiff to abandon his valid claim. Plaintiff seeks compensatory and punitive damages, attorneys' fees, and other relief as provided by law.

[TENTATIVE] RULING

Defendant State Farm General Insurance
Company's Motion for Summary Adjudication is DENIED.

EVIDENTIARY OBJECTIONS

Defendant State Farm General Insurance
Company submits objections to Plaintiff Harmik Ohanian's Opposition.

The court SUSTAINS objections nos. 3
and 4-12 on irrelevance.

DISCUSSION

Defendant State Farm General Insurance
Company moves this court for an order granting summary adjudication in its favor on the bad faith claim on the grounds that there exists no triable issue of material fact on the claims raised in Plaintiff's Complaint.

"[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850, fn. omitted.) "Once the [movant] has met that burden, the burden shifts to the [other party] to show that a triable issue of one or more material facts exists as to that cause of action" (CCP § 437c(p)(2); see Aguilar, supra, 25 Cal.4th at 850.) The party opposing summary judgment "may not rely upon the

mere allegations or denials of its pleadings,” but rather “shall set forth the specific facts showing that a triable issue of material fact exists”

(CCP § 437c(p)(2).) A triable issue of material fact exists where “the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (Aguilar, supra, 25 Cal.4th at 850.)

State Farm argues there is no triable issue of fact regarding the investigation and State Farm's conduct and as a result, State Farm is entitled to summary adjudication of the claim for bad faith. State Farm notes it is not seeking adjudication on State Farm's ultimate determination; rather, only whether the determination was in bad faith. In support of its contention that it was not, State Farm presents the following evidence: Plaintiff alleges on February 25, 2023, there were heavy winds and rain in the area causing damage to the exterior and interior areas of his house. (UMF 1.) Plaintiff alleges the water penetrated French doors and entered the house causing cracks in the interior finishes, walls, ceilings and damage to wood floors. (UMF 1.) Plaintiff had a homeowners insurance policy with State Farm General Insurance Company, Policy No. 75-J2-M038-9, which was in effect in February 2023. (UMF 2.) The policy provided coverage to Plaintiff's residence in Sunland, California pursuant to the terms and conditions set forth in the policy. (UMF 2.) The policy expressly provides that it will pay for "accidental direct physical loss" as described in the policy but not all damage including wear, tear, deterioration, etc.:

“SECTION

I – LOSSES INSURED COVERAGE A – DWELLING We will pay for accidental direct physical loss to the property described in Coverage A, unless the loss is excluded or limited in SECTION I – LOSSES NOT INSURED or otherwise excluded or limited in this policy....” (UMF 3.)

The policy further expressly provided:

“SECTION

I - LOSSES NOT INSURED 1. We will not pay for any loss to the property described in Coverage A that is caused by one or more of the items below, regardless of whether the loss occurs abruptly or gradually, involves isolated or widespread damage, arises from natural or external forces, or occurs as a result of any combination of these: ... f. wear, tear, decay, marring, scratching, deterioration, inherent vice, latent defect, or mechanical

breakdown; g. corrosion, electrolysis, or rust; h. wet or dry rot..." (UMF 4.)

Similarly, the policy also did not cover other calamities and damages including damage due to earth movement, or water damage due to a flood or surface water. (UMF 4.) Plaintiff's insurance policy with State Farm had a \$3,000 deductible. (UMF 5.) On May 1, 2023, Plaintiff submitted a claim to State Farm for damage Plaintiff alleged was due to the February 2023, storm. (UMF 6.) State Farm was advised that Plaintiff had retained Apex Public Adjusters to assist Plaintiff with his claim. (UMF 7.) On May 5, 2023, State Farm contacted Apex Adjusters to determine the facts of loss and advised Apex that it would conduct an investigation, including a physical inspection, to determine whether the claim was covered. (UMF 8.) On May 24, 2023, State Farm advised Plaintiff that his claim was related to a Declared State of Emergency in California. (UMF 9.) On June 9, 2023, State Farm conducted an inspection of Plaintiff's property. (UMF 10.) State Farm's claims handler prepared notes of his observations during the inspection including noting there were several cracks in the paint across the deck and stucco, which he noted were consistent with wear, tear, deterioration and/or settling. (UMF 10.) State Farm noted that Apex Adjusters disagreed. (UMF 10.) In June 2023, Apex Adjusters submitted an invoice for \$1,000 to repair the floors. (UMF 11.) In August 2023, State Farm received a repair estimate from Apex Adjusters in the amount of \$387,292.68. (UMF 13.) State Farm began the estimate reconciliation process for Apex Adjusters' estimate. (UMF 14.) In August 2023, Apex Adjusters followed up with State Farm regarding the estimate. (UMF 14.) After several follow ups and expressed concern over the time being taken to complete State Farm's estimate, State Farm assigned a new adjuster. (UMF 14-17.) On September 18, 2023, State Farm completed its evaluation of the claim and estimate and determined the estimate for the covered damage did not exceed the \$3,000 deductible. (UMF 18, 19.) In December 2023, Plaintiff obtained counsel, which repeated Plaintiff's demand for repairs and remediation in the amount of \$387,292.68, as well as pack out and storage costs in the amount of \$30,411.01 and additional living expenses. (UMF 20.) Counsel also provided State Farm with a copy of Fuhrmann Floors' proposal indicating the floors would need to be replaced. (UMF 20.) State Farm again reviewed Plaintiff's claim and in February 2024, State Farm determined based on the totality of the evidence and information, its estimate was correct and Plaintiff's claim was below Plaintiff's deductible. (UMF 21.) On May 1, 2024, counsel for Plaintiff emailed State Farm demanding State Farm submit to an appraisal under the provision in the policy to resolve the dispute in the disparity in the scope of the loss and repair. (UMF 22.) State Farm again evaluated Plaintiff's claim and noted that the loss was within a

government declared disaster, which said appraisal could not be compelled. (UMF 23.) On July 19, 2024, State Farm advised Plaintiff that it was declining Plaintiff's demand for appraisal under the terms and conditions of the policy. (UMF 24.) After Apex advised State Farm that given State Farm's disposition Plaintiff agreed to file a lawsuit, State Farm responded, explaining why it was not covered. (UMF 29.)

Based on State Farm's conduct, State Farm argues State Farm thoroughly investigated the claim. but determined the evidence did not establish coverage exceeding the deductible and so no benefits were owed. As a matter of law, withholding insurance benefits is not unreasonable where a "genuine dispute" exists regarding either the existence of coverage liability or the amount of payment due. (Fraleigh v. Allstate Ins. Co. (2000) 81 Cal.App.4th 1282, 1292.) Here, the court finds State Farm has presented evidence that it reached its coverage decision based on its inspection of the property.

In opposition, Plaintiff points to State Farm's internal estimate. Plaintiff contends State Farm cannot claim it engaged in a reasonable investigation in evaluating the loss at \$1,739.22 when its own records simultaneously valued the same claim at a minimum of \$211,000. (PSSUMF 49.) Moreover, when Plaintiff demanded an appraisal to resolve the dispute, State Farm refused. Plaintiff also points out the fact that State Farm's motion fails to discuss that its own adjuster, Franklin Patel, confirmed that replacement of three sets of French doors and all open and continuous wood flooring throughout the home was required as a direct result of the windstorm. (PSSUMF 21 – 28.) Also, that replacement adjuster James Williams expressly noted in the claim file that he had not reviewed Apex's estimate and that a further inspection was necessary before the scope of loss could be determined, and in order to return the home to its pre-loss condition. (PSSUMF 47.) After the claim was assigned to Toby Long on September 18, 2023, Mr. Long, without conducting any reinspection and without reviewing the detailed estimate submitted by Plaintiff a month prior, determined that he didn't need to reinspect the home and denied the claim as below the \$3,000 deductible. (PSSUMF 50-61.) Plaintiff cites to *Mariscal v. Old Republic Life Ins. Co.* (1996) 42 Cal.App.4th 1617. In *Mariscal*, the Court of Appeal held that when investigating a claim, an insurance company has a duty to diligently search for evidence which supports its insured's claim and "[i]f it seeks to discover only the evidence that defeats the claim it holds its own interest above that of its insured." (*Mariscal v. Old Republic Life Ins. Co.* (1996) 42 Cal.App.4th

1617, 1620.)

The court finds Plaintiff has met its burden of establishing a triable issue of material fact. As noted in *Mariscal*, an insurer may not deny a claim without thoroughly investigating it. (*Mariscal*, supra, 42 Cal.App.4th at p. 1620.) Plaintiff has presented evidence that after Mr. Williams took on the claim, he noted “based on discrepancy in original scope from the inspection and current estimate amount an additional inspection will be necessary as the inspection photos and no supporting documents from PA to support the amount of the estimate.” (Exh. 2, p. 7.) After the claim was reassigned to Mr. Long, he decided not to reinspect the property. “To protect its insured’s contractual interest in security and peace of mind, ‘it is essential that an insurer fully inquire into possible bases that might support the insured’s claim’ before denying it.” (*Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 721.) A jury could conclude State Farm failed to conduct a thorough investigation after one of the adjusters noted a discrepancy and State Farm then ignored it without follow-up investigation. As for State Farm’s refusal to participate in the appraisal, the court finds the Policy is clear that it is not a requirement and does not show State Farm acted unreasonably or without proper cause.

The court notes the initial internal estimate is not clear whether it is to all damage, including damage “not covered” by the policy. A jury could find the note “Based on brief look major difference in scope from PA to State farm inspection report Inspection only covered water damage to floors in three room, current SFE is at 211,000 dollars” to be State Farm’s estimate of covered claims.

Based on the foregoing, the motion for summary adjudication is DENIED.